RESOLUTION NO. 2026-164

A RESOLUTION OF THE SOLANO COUNTY BOARD OF SUPERVISORS CALLING FOR AN ELECTION AND ORDERING SUBMISSION TO THE QUALIFIED ELECTORS A MEASURE PROPOSING TO UPDATE THE SOLANO COUNTY BUSINESS LICENSE TAX RELATING TO COMMERCIAL ENERGY PRODUCTION, RESOURCE EXTRACTION FACILITIES AND DATA CENTERS, AND ORDERING CONSOLIDATION OF THE ELECTION WITH THE GENERAL ELECTION TO BE HELD WITHIN SOLANO COUNTY ON NOVEMBER 3, 2026

WHEREAS, Solano County established a business license tax on commercial wind turbine generators in 1994 pursuant to Revenue and Taxation Code Section 7284, and the current tax rate of three one-thousandths of one cent ($0.00003) per kilowatt-hour has remained unchanged for more than thirty years; and

WHEREAS, the County's current business license tax on commercial wind turbine generators and other activities is provided for in Article XII of Chapter 11 of the Solano County Code (Business License Tax); and

WHEREAS, periodic inflation adjustments help preserve the real value of business license tax revenues over time and ensure that all covered industries continue to contribute equitably toward the cost of general County services and infrastructure; and

WHEREAS, the existing Business License Tax on commercial wind turbine generators does not contain an inflation adjustment mechanism and, as a result, the real value of revenue generated by the tax has substantially declined over time due to inflation since 1994; and

WHEREAS, since the adoption of the Business License Tax on commercial wind turbine generators in 1994, proposals for large-scale commercial solar energy systems, front-of-the-meter battery energy storage systems (BESS), natural gas extraction facilities, and data centers have become increasingly prevalent throughout the State of California, and are anticipated to become more frequent in the unincorporated area of Solano County. These facilities are not currently subject to a business license tax specifically calibrated to their commercial activity or operational scale in Solano County; and

WHEREAS, commercial solar energy systems, front-of-the-meter BESS, natural gas extraction facilities, and data centers, like commercial wind turbine generators, utilize County infrastructure, transportation networks, regulatory services, emergency services, and other governmental resources and it is appropriate and in the best interest of the County and its residents to modernize the Business License Tax to ensure these facilities contribute toward the cost of general County infrastructure and services; and

WHEREAS, establishing consistent treatment across commercial energy production, front-of-the-meter BESS, natural gas extraction facilities, and data centers promotes fairness and ensures industries deriving commercial value from locally available resources contribute fairly toward the cost of general County services and infrastructure; and

WHEREAS, Government Code section 53724 and Revenue and Taxation Code section 7284 authorize the Board of Supervisors, by a two-thirds vote of all its members, to submit a county general tax measure establishing or amending a business license tax to the voters for approval; and

WHEREAS, Article XIII C of the California Constitution and California Government Code section 53723 require that before the County may impose or increase a general tax, the tax must be submitted to the voters and approved by a majority vote of the electorate; and

WHEREAS, the Board has determined that it is appropriate and in the best interest of the County and its residents to submit to the voters a measure applicable in the unincorporated area of Solano County that would increase the existing business license tax rate for commercial wind turbine generators, establish annual Consumer Price Index for All Urban Consumers (CPI-U) adjustments, and expand the business license tax to apply to commercial solar energy systems, front-of-the-meter BESS, natural gas extraction facilities, and data centers, establish a flat capacity-based business license tax on approved energy storage capacity for front-of-the-meter BESS; and establish an annual CPI adjustment mechanism; and

WHEREAS, the ordinance to be considered by the qualified voters is entitled "An Ordinance Amending Article XII of Chapter 11 of the Solano County Code relating to the Business License Tax imposed on Commercial Energy Production, Resource Extraction Facilities, and Data Centers in the Unincorporated Areas of Solano County" which is attached hereto as Attachment A (the "Measure"), and by this reference made an operative part hereof, in accordance with all applicable laws; and

WHEREAS, the Board finds that calculating the business license tax for data centers based upon gross floor area provides an objective, measurable, and administratively practical methodology that is reasonably related to the scale and operation of those facilities and consistent with the County's existing Business License Tax framework.

NOW, THEREFORE BE IT RESOLVED, pursuant to Elections Code section 9140 and Government Code section 53724, the Solano County Board of Supervisors hereby calls the election and orders the submission of the Measure to the qualified voters of Solano County.

RESOLVED, the Board of Supervisors consents to the consolidation of the election on the Measure with the regularly scheduled general election to be held within the County on November 3, 2026.

RESOLVED, the ballot question in substantially the following form shall be included on the ballot, in addition to any other matters required by law to be on the ballot:

Measure __: SOLANO COUNTY UNINCORPORATED BUSINESS LICENSE TAX Shall Solano County update its business license tax to raise the commercial wind turbine rate ($0.00003 to $0.00008 per kWh) and extend the tax to commercial solar energy systems ($0.00008 per kWh), battery energy storage systems ($1.50 per MWh), natural gas extraction facilities ($0.30 per McF), and data centers ($5.00 per building square foot), with annual inflation adjustments, generating approximately an additional $353,000 annually, until ended by the voters?	Yes No

RESOLVED, the full text of the Measure shall be made available to the public in accordance with subdivisions (b)(3) and (b)(4) of the Elections Code section 9160.

RESOLVED, the Registrar of Voters and the County Administrator are hereby authorized and directed to take any and all actions necessary under law to prepare for and conduct the general election and coordinate all actions necessary to prepare for and conduct the election in accordance with applicable laws.

RESOLVED, County Counsel is authorized and directed to prepare and submit to the Registrar of Voters an impartial analysis of the Measure pursuant to section 9160(b) of the California Elections Code.

RESOLVED, the Registrar of Voters is directed and authorized to certify the results of the election on the Measure to the Board of Supervisors.

RESOLVED, this resolution shall take effect immediately upon its adoption.

Passed and adopted by the Solano County Board of Supervisors at its regular meeting on July 28, 2026, by the following vote:

AYES:	SUPERVISORS	James, Williams, Mashburn, and Chair Brown
NOES:	SUPERVISORS	None
EXCUSED:	SUPERVISORS	Vasquez

[redacted]
MONICA BROWN, Chair
Solano County Board of Supervisors

ATTEST:
IAN M. GOLDBERG, Clerk
Solano County Board of Supervisors

By: [redacted]
Alicia Graves, Chief Deputy Clerk